NLT (PSF/NSC) 1503

DECLASSIFIED
E.O. 13526
Authority NLT-PSF-49-2-20-6, 3/6/12 RAC
NARA A4 Date 6/27/13

~~TOP SECRET~~

December 30, 1949

MEMORANDUM FOR THE PRESIDENT

The following notes contain a summary of the discussion at the 50th meeting of the National Security Council, at which the President presided. The Vice President, being absent from the city, did not attend. In the absence of Secretary Johnson, Secretary Sawyer, and Mr. Hoffman, Mr. Early, Mr. Whitney, and Mr. Foster attended.

THE POSITION OF THE UNITED STATES WITH RESPECT TO ASIA
(NSC 48/1)

MR. SOUERS said that General Bradley would present orally the views of the Joint Chiefs of Staff on NSC 48/1 before distribution of a JCS paper on the subject.

MR. SOUERS then read a memorandum from Mr. Early indicating that, due to the limited time available for study, Mr. Early could not take a position on the JCS views prior to their dissemination, and that the JCS and the Department of Defense reserved the right to revise these views if this should be required in the light of subsequent thinking.

SECRETARY ACHESON said that NSC 48/1 incorporated many policies already being followed but omitted others, such as those relating to a Japanese peace treaty, for specific reasons. At his suggestion amendments relative to paragraph 46b(2) and 46g(1) of NSC 48/1 were agreed to. Secretary Acheson also stated that his concurrence in paragraph 46b(1), relative to strengthening the U. S. military position in Japan, the Ryukyus, and the Philippines was on the understanding that nothing in this paragraph changes the present policy toward Japan as contained in NSC 13/3 or prejudges the question of a possible Japanese peace treaty.

SECRETARY ACHESON pointed out that NSC 48/1 contained alternate conclusions concerning Formosa proposed respectively by the Departments of State and Defense.

GENERAL BRADLEY said the Department of Defense version on Formosa was preferable from the military point of view since it pointed up the necessity of early determination of an overall program for resisting the spread of communist domination in Asia.

SECRETARY ACHESON said he understood that the JCS were not recommending the commitment of U. S. armed forces for the occupation of Formosa, but merely wished to undertake a moderate program of military advice and assistance for Formosa. He said the Departments of State and Defense were agreed that such a program would not prevent the fall of Formosa, but might at

best only lengthen the time remaining before it falls. The essential question is: what will it cost us to buy some more time and what we will get worth the price?

SECRETARY ACHESON said the Communists were in complete control of China not primarily because the Nationalists suffered military defeat, but because the National government collapsed. He believed that the factors, including the agrarian revolution, which had produced the Nationalist collapse and Communist control on the mainland were operating in Formosa. He said that the USSR was now on top of the heap in China, but that when the Russian policies of detaching the northern provinces and collectiviaing agriculture began to reveal themselves, conflict would eventually develop between China and the USSR. He thought we should seek to take advantage of this conflict when it developed and meanwhile avoid actions which would deflect Chinese xenophobia from Russia to ourselves. U. S. military assistance enabling the Chinese National Government to continue the fight from Formosa would turn Chinese anti-foreign feeling against us and also place us in the position of subsidizing attacks on a government which will soon be generally recognised. Secretary Acheson said we must also consider the effect on the rest of Asia, where we wish to be on the side of the nationalist movements and to avoid supporting reactionary governments. He said Formosa, though important to the U. S., was not vital. Military assistance with respect to Formosa would buy only a little time at the risk of losing the influence we have left in Asia.

GENERAL BRADLEY said that both the State and Defense proposals in NSC 48/1 provided for maintaining the present objective of denying Formosa to the Communists. The JCS proposed to supplement our present economic and political measures by looking into the possibility of modest military assistance. However, if for political reasons it was desired to drop support of the current Nationalist Government, then perhaps the JCS proposal went too far.

SECRETARY ACHESON said that we had now extricated ourselves from the Chinese civil war and it was important that we not be drawn into it again. He suggested that the Chinese Nationalists could purchase small arms and supplies in the U. S. by using their large gold reserve.

THE PRESIDENT said he approved the recommendations of the Secretary of State for political reasons.

In response to a question by General Bradley, THE PRESIDENT and SECRETARY ACHESON indicated that it might be desirable to review the NSC 37 series with respect to Formosa.

At the suggestion of GENERAL BRADLEY, amendments were agreed to on paragraphs 44, 45, and 46a of NSC 48/1. It was agreed that further amendments to the Conclusions of NSC 48/1 should be subsequently agreed upon by the Departments of State and Defense.

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MR. WHITNEY asked whether the policy contained in NSC 48/1 regarding trade with China (paragraph 46g(4)) should be adopted before the cooperation of other countries exporting to China was obtained. SECRETARY ACHESON said it was our intention to get such other countries to cooperate with us in this policy. Mr. Whitney pointed out, with respect to paragraph 46c(4) of NSC 48/1, that treaties have not generally resulted in much capital investment. It was agreed that the points raised by Mr. Whitney would be taken into account in the implementation of our policy toward Asia.

JAPANESE PEACE TREATY

THE PRESIDENT said he wished to make some remarks on this subject. He recalled that at the time of the Potsdam Conference, the United States, Britain, and China had suggested surrender terms to Japan. He said that the USSR did not participate in this action, since it was not then at war with Japan. He added that a few days after the first atomic bomb was dropped on Japan, Russia declared war on Japan and concurred in the surrender terms already offered to Japan. The President said that the U. S. position in Japan was a partnership affair with Britain and China only, and that the U. S., Britain, and China could negotiate a peace treaty with Japan whether the USSR participated or not.

THE NATIONAL SECURITY COUNCIL:

Discussed the reference report on the subject and adopted the Conclusions contained therein subject to:

a. Amendments made at the meeting, including the adoption of paragraph 46b(1) as proposed by the Department of State.

b. Further amendments to be subsequently agreed upon by the Departments of State and Defense.

c. An understanding that nothing in paragraph 46b(1) on page 30 changes the present policy toward Japan as contained in NSC 13/3 or prejudges the question of a possible Japanese peace treaty.

NOTE: The Conclusions in NSC 48/1 as revised subsequently circulated as NSC 48/2 and submitted to the President for consideration.